

Breadth Over Megacap

S&P 500 flat as the Dow neared a record on industrials and health care. May PCE in line at 4.1%. Micron's print validated the memory cycle; Bitcoin slipped below \$60,000.

THE SESSION

The market did the work for us today. The headline indices barely moved — the S&P 500 closed essentially flat and the Nasdaq slipped roughly half a percent — but underneath that placid surface ran a rotation that rewarded exactly the kind of business we prefer to own. The Dow Jones Industrial Average climbed to within a hair of a record high, carried not by the familiar megacap technology names but by industrials, health care, and financials. The Russell 2000 added 0.71%. Breadth, not the leaderboard, told the story.

The morning's central question had been whether Micron's after-close print would validate the memory cycle and whether the May PCE reading would unsettle a tape already on edge. Both were answered. Micron rocketed nearly 16% on a quarter that more than quadrupled year-ago revenue, and the read-through lifted the memory and equipment complex rather than the index leaders. The PCE deflator came in at 4.1% year-over-year and 0.4% on the month — hot, the firmest annual reading since 2023, but squarely in line with what economists expected, with the monthly figure a touch below forecast. Markets treated it as the likely peak: oil has retreated roughly a third from its February highs as the Strait of Hormuz reopened, and that relief has yet to show up in the data.

So capital rotated. It moved out of the crowded megacap leaders — Apple fell nearly 6% after raising prices on MacBooks and iPads to absorb the memory-cost surge, and Nvidia and Taiwan Semiconductor gave back ground — and into the broad industrial and value complex where the Dividend Strategy lives. Caterpillar, Steel Dynamics, Paccar, Valero, and Abbott all advanced more than 3%. That is why the Dividend sleeve gained 1.63% on a day the S&P went nowhere.

FCI Tactical: A flat index is not a quiet market. The days the headline number does nothing are often the days ownership of the right businesses matters most. We were positioned for breadth, and breadth arrived.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

LRCX +7.21%

DIVIDEND STRATEGY

Lam Research led the sleeve as Micron's blowout print rippled through the memory-equipment cohort. Lam separately opened a Boise office to sit closer to Micron's memory expansion — a direct line to the capacity buildout driving the cycle.

CAT +6.29%

DIVIDEND STRATEGY

Caterpillar closed above \$1,050 as its Power & Energy segment remains the market's preferred play on AI-data-center power infrastructure. Wells Fargo lifted its target to \$1,155, citing a record order backlog near \$63 billion.

VLO +5.21%

DIVIDEND STRATEGY

Valero captured the refiner's paradox: as crude fell on the Hormuz reopening, input costs dropped while product prices held into summer driving season, widening crack spreads. Mizuho raised its target to \$289.

PCAR +3.97%

DIVIDEND STRATEGY

Paccar advanced with the broad industrials and transport rotation that carried the Dow toward a record.

STLD +3.96%

DIVIDEND STRATEGY

Steel Dynamics rose on the tariff-protected domestic pricing environment — the 50% Section 232 wall — layered with steel demand from data-center construction.

QCOM +3.71%

DIVIDEND STRATEGY

Qualcomm held a sizable gain after its Investor Day data-center pivot, doubling its fiscal-2029 non-handset revenue target to \$40 billion with Meta and Microsoft commitments. Morgan Stanley upgraded to Equal Weight at \$231.

LMT +2.72%

DIVIDEND STRATEGY

Lockheed Martin recovered as a White House push refocused attention on defense: the administration met prime CEOs to accelerate weapons production alongside an \$87.6 billion supplemental request. Backlog tops \$194 billion.

FTNT +3.20%

GROWTH PORTFOLIO

Fortinet led the growth sleeve's advancers on durable cybersecurity demand.

VST +3.01%

GROWTH PORTFOLIO

Vistra rose with the power-generation cohort tied to accelerating data-center electricity demand.

DECLINERS

COIN -5.06%

GROWTH PORTFOLIO

Coinbase led decliners as Bitcoin slipped below \$60,000 to its lowest level since late 2024, with capital continuing to rotate from crypto toward AI infrastructure.

SSNC -4.47%

DIVIDEND STRATEGY

SS&C Technologies gave back ground as the day's notable dividend-sleeve laggard, without a specific company-level catalyst.

HOOD -3.83%

GROWTH PORTFOLIO

Robinhood followed the crypto complex lower, tracking Bitcoin's decline given its trading-revenue sensitivity.

NVDA -1.64%

GROWTH PORTFOLIO

Nvidia gave back ground as capital rotated away from the megacap chip leaders and into memory, equipment, and value names.

TSM -1.32%

GROWTH PORTFOLIO

Taiwan Semiconductor eased with the broader megacap-tech giveback even as the memory cohort rallied.

ETHA -1.51%

DIGITAL ASSET ETF

The Ether ETF tracked crypto weakness; the Bitcoin ETF (IBIT) eased 1.03% as Bitcoin traded below \$60,000.

HOLDINGS NEWS

Qualcomm's data-center reframing. At its Investor Day, Qualcomm laid out a four-product roadmap over 24 months and named Meta (Dragonfly C1000 CPUs) and Microsoft (High Bandwidth Compute for Azure) as committed customers, targeting more than \$15 billion in data-center revenue by fiscal 2029. The Street responded with a wave of target hikes — Morgan Stanley to \$231, Rosenblatt to \$265, Bernstein to \$235 — marking a structural shift for a holding long valued as a handset business.

Lockheed's defense tailwind. The White House meeting with defense primes, paired with the supplemental funding request and Lockheed's plans to triple Patriot and quadruple THAAD interceptor output, reaffirmed the multiyear procurement framework underpinning the position regardless of the Iran ceasefire.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY

✓ BEAT BOTH

+1.63%

vs. DVY +0.72% | SPY +0.04%

GROWTH PORTFOLIO

✓ BEAT

+0.83%

vs. IUSG +0.18%

YEAR-TO-DATE

Dividend +15.12% vs DVY +11.23% / SPY +7.56%

Growth +20.35% vs IUSG +8.88%